

My second dream is that we design an industry that will serve the investor not for a season but for a lifetime. Technologically, we are well prepared to do just that. The industry's ability to handle the complex record keeping for the nearly 50 million participants in our multifaceted defined-contribution plans, for example, has been something of a triumph. And the services we provide to our fund investors through communications and transactions over the Internet have been truly remarkable. But the vast menus of funds we offer and the wide array of strategies we create almost of necessity encourage investors to restlessly move their money around, a strategy that favors the house far more than it favors the player.

We have too many investors who are too aggressive—401(k) plan participants working for Fortune 100 companies allocate an average of 36 percent to company stock, not only concentrating their investment risk but aligning it with their career risk. We also have too many investors who are too conservative. Investors who have so-called stable value funds and money market funds as an investment option allocate nearly 24 percent to these funds. What is more, 401(k) investors are notorious for performance chasing, and we seem not to care. Traditionally, the most popular funds in our retirement plans have been those with extraordinary past performance—but, alas, their returns are destined to revert to the market mean at best, and more likely well below it. We also offer too many choices, sowing confusion among participants. We allow too much borrowing, and we now know that, in today's world of high employee turnover, fully 45 percent of those who leave their jobs simply take their money and run. And we are only now developing annuity-linked programs that allow our clients a seamless move from their years of accumulating assets to their years when they begin to draw those assets down, secure from the risk of exhausting them.

Most important of all, we need to recognize that pooled investment funds such as mutual funds now constitute the dominant element of the nation's overall retirement system, including not only individual retirement plans but also corporate benefit plans and federal, state, and local government plans. With each passing year, they will become even more dominant. Instead of merely looking after our own parochial interests, farsighted industry leaders ought to be